FINANCING NEW VENTURES

Financing New ventures

- A major concern of every entrepreneur is how to create and maintain sufficient capital to conduct business.

- Careful financial planning and control - are means to alleviate this concern.

Financing New Ventures

- Few entrepreneurs, if any, have enough money available at all times to finance daily business operations and meet Long-term investment requirements.

- Hence, the entrepreneur's ability to obtain money and to secure credit is essential to sustaining a healthy financial situation.

Financing New Ventures: Capital Requirements

An entrepreneur needs money for a variety of purposes:

- **1. Fixed capital**
- **2. Working capital**
- **3. Liquid capital**

Financing New Ventures: Capital Requirements

- **Fixed capital** is money needed to purchase such physical facilities as buildings, fixtures, and equipment.

- This type of capital requirement (**Fixed capital**) represents long term investments that tie up capital for extended periods.

Financing New Ventures: Capital Requirements

- **Working capital** is money needed to meet day to day operating costs.

- It is used to pay the rent and utility bills, to purchase inventories, and to cover payroll expenses.

Financing New Ventures: Capital Requirements

- **Liquid Capital or Fluid Capital** is money held in reserve for emergency situations, usually in the form of cash or disposable securities (e.g. stocks, bonds, certificates of deposit).

- **Liquid Capital or Fluid Capital** is a readily convertible asset, such as money or other bearer economic instruments, as opposed to a long term asset like real estate.

Financing New Ventures

- **The amount of fixed, working, and liquid capital** required by a particular entrepreneur operation is a function of the size and nature of that operation**.**

- Capital requirements for larger entrepreneurs are greater than those for smaller entrepreneurs, (***ceteris paribus***) other things being equal.

Types of Financing

- The first step an entrepreneur takes in securing capital funds is determining what kind of money is needed.
- **1. Fixed capital**
- **2. Working capital**
- **3. Liquid capital**
- The entrepreneur's purpose for the money (e.g., for use as fixed, working or liquid capital) determines the type of financing.

Types of Financing

- **There are three types of financing:**

- **1. Short term credit,**
- **2. Intermediate term credit, and**
- **3. Long term credit.**

Types of Financing

- **1. Short-term credit is money the entrepreneur can borrow for less than one year.**
- **Lending institutions provide entrepreneurs with short term loans primarily for working capital.**
- **For example, banks extend short term credit to entrepreneurs to purchase next season's inventory. In such cases, the loans are self liquidating because they generate sales cash.**

Types of Financing

- **2. Intermediate term credit** usually is offered for **periods longer than one year but less than five years**.

- Entrepreneurs secure such loans to finance smaller, fixed capital expenditures (e.g., fixtures and equipment).

Types of Financing

- **3. Long-term credit takes the form of loans that entrepreneurs secure for periods greater than five years.**

- **Typically, entrepreneurs use long-term financing to purchase major fixed capital investments such as buildings and land.**

Types of Financing

- **For both intermediate and long term credit, the entrepreneur must make periodic installment payments (monthly, quarterly, or annually) from earnings.**

Sources of Funding

- To obtain funds, entrepreneurs can turn to a number of sources, including

- debt
- equity, and
- the government, etc

- lending institutions

Sources of Funding

Determining which source to use depends on

- **1. the type of financing the entrepreneur needs (short, intermediate, and long term credit),**
- **2. the nature and size of the business, and**
- **3. the entrepreneur's particular financial condition.**

Most entrepreneurs find it necessary to tap several sources of funds.

Sources of Funding: Debt Financing

- **Debt financing involves the use of borrowed money to finance a business.**

- **Debt financing is financing in which a business gets a loan and go into debt. The venture is obligated to repay the loan at a predetermined interest rate.**

Sources of Funding: Debt Financing

- **Many new ventures find that debt financing is necessary.**
- **Short-term borrowing (one year or less) is often required for working capital and is repaid out of the proceeds from sales.**
- **Long-term debt (term loans of one to five years or long term loans maturing in more than five years) is used to finance the purchase of property or equipment, with the purchased asset serving as collateral for the loans.**

Sources of Funding: Debt Financing

- **The most common sources of debt financing are commercial banks.**

Sources of Funding: Debt Financing

- **Debt financing is a method involving an interest-bearing instrument, usually a loan, the payment of which is only indirectly related to the sales and profits of the venture.**

- **Debt financing (or called asset-based financing) requires that some asset (such as a car, house, plant, machine or land) be used as collateral.**

Sources of Funding: Debt Financing

- **Debt financing requires the entrepreneur to pay back the amount of funds borrowed, plus**
- **a fee expressed in terms of the interest rate and**
- **sometimes points for using or being able to use the money.**

Sources of Funding: Debt Financing

- **If the financing is short-term (less than one year), the money is usually used to provide working capital to finance inventory, accounts receivable, or the operation of the business.**

- **The funds are typically repaid from the resulting sales and profits during the year.**

Sources of Funding: Debt Financing

- **Long term debt (lasting more than one year) is frequently used to purchase some asset such as**
- **a piece of machinery,**
- **land, or a building,**
- **with part of the value of the asset (usually from 50 to 80 percent of the total value) being used as collateral for the long-term loan.**

Sources of Funding: Debt Financing

- **When interest rates are low, debt (as opposed to equity) financing allows the entrepreneur to retain a larger ownership portion in the venture and have a greater return on equity.**

- **The entrepreneur needs to be careful that the debt is not so large that regular interest payments become difficult if not impossible to make, and growth and development are inhibited or bankruptcy results.**

Sources of Funding: Debt Financing

- **To secure a bank loan, an entrepreneur typically will have to answer a number of questions.**

- **Five of the most common questions, together with descriptive commentaries follow:**

Debt Financing

- **1. What do you plan to do with the money? Do not plan on using funds for a high risk venture. Banks seek the most secure venture possible.**

Debt Financing

- **2. How much do you need: Some entrepreneurs go to their bank with no clear idea of how much money they need.**

- **All they know is that they want money. The more precisely the entrepreneur can answer this question, the more likely the loan will be granted.**

Debt Financing

- **3. When do you need it? Never rush to the bank with immediate requests for money with no plan.**

- **Such a strategy shows that the entrepreneur is a poor planner, and most lenders will not want to get involved.**

Debt Financing

- **4. How long will you need it?**
- **The shorter the period of time the entrepreneur needs the money, the more likely he or she is to get the loan.**

- **The time at which the loan will be repaid should correspond to some important milestone in the business plan.**

Debt Financing

- **5. How will you repay the loan? This is the most important question.**

- **What if plans go wrong (awry)?**
- **Can other income be diverted to pay off the loan?**
- **Does collateral exist?**

- **Even if a quantity of fixed assets exists, the bank may be unimpressed because it knows from experience that assets sold at a liquidation auction bring only a fraction of their value.**
- **Five to ten cents on the dollar is not unusual**

Debt Financing

- **Trade credit (Accounts payable – Balance Sheet) must be paid in 30 to 90 days**

Debt Financing

- **Debt financing has both advantages and disadvantages.**

- **Advantages**
- **1. No relinquishment of ownership is required.**
- **2. More borrowing allows for potentially greater return on equity.**
- **3. During periods of low interest rates, the opportunity cost is justified since the cost of borrowing is low.**

Debt Financing

- **Disadvantages**
- **1. Regular (monthly) interest payments are required.**
- **2. Continual Cash-flow problems can be intensified because of payback responsibility.**
- **3. Heavy use of debt can inhibit growth and development.**

Sources of Funding: Equity Financing

- **Equity is the term commonly used to describe the ordinary share capital of a business.**
- **Equity financing does not require collateral and offers the investor some form of ownership position in the venture.**
- **The investor shares in the profits of the venture, as well as any disposition of its assets on a *pro rata basis*.**

Equity Financing

- **Key factors favouring the use of one type of financing over another are the *availability of funds*, the *assets of the venture*, and the *prevailing interest rates*.**

- **Usually an entrepreneur meets financial needs by employing *a combination of debt and equity financing*.**

Equity Financing

- **All ventures will have some equity, as all ventures are owned by someone in a market economy.**

- **Although the owner may sometimes not be directly involved in the day-to-day management of the venture, there is always equity funding involved that is provided by the owner.**

Equity Financing

- **The amount of equity involved will vary by the nature and size of the venture. In some cases, the equity may be entirely provided by the owner.**
- **Larger ventures may require multiple owners, including private investors and/or venture capitalists.**
- **This equity funding provides the basis for debt funding, which makes up the capital structure of the venture.**

Equity Financing

- There are three main ways of raising equity finance:
- 1. Retaining profits in the business (rather than distributing them to equity shareholders);
- 2. Selling new shares to existing shareholders (a "rights issue")
- 3. Selling new shares to the general public and investing institutions

Internal or External Funds

- **From another perspective, financing is available from internal or external funds.**

- **The type of funds frequently employed is internally generated funds.**

Internal Funds

- **Internally generated funds can come from several sources within the company:**
- **profits,**
- **sale of assets,**
- **reduction in working capital,**
- **extended payment terms, and**
- **accounts receivable**.

Internal Funds

- **In every new venture, the start-up years involve**
- **putting all the profits back into the venture;**
- **even if outside equity investors do not expect payback in the early years.**

Internal Funds

- **Sometimes, the needed funds can be obtained by selling little-used assets.**

- **Assets, whenever possible, should be on a rental basis (preferably on a lease with an option to buy), not an ownership basis, as long as there is not a high level of inflation and the rental terms are favourable.**

Internal Funds

- **This will help the entrepreneur conserve cash, which is particularly critical during the start-up phase of the company's operation.**

External Funds

- **Alternative sources of external financing need to be evaluated on three bases:**

- **1. the length of time the funds are available,**
- **2. the costs involved, and**
- **3. the amount of company control lost.**

External Funds

- **Government grants**
- **Research and Development grants**

Personal Funds

- Few, if any, new ventures are started without the personal funds of the entrepreneur.

- Not only are these the least expensive funds in terms of cost and control, but they are absolutely essential in attracting outside funding, particularly from banks, private investors, and venture capitalists.

Personal Funds

- These outside providers of capital feel that the entrepreneur may not be sufficiently committed to the venture if he or she does not have the money invested.

- As one venture capitalist succinctly said “I want the entrepreneurs so financially committed that when the going gets tough, they will work through the problems and not throw the keys to the company on my desk.”

Personal Funds

- An outside investor wants an entrepreneur to have committed all available assets, an indicator that he or she truly believes in the venture and will work all the necessary hours so that the venture succeeds.

Family and Friends

- After the entrepreneur, family and friends are the next most common source of capital for a new venture.

- They are most likely to invest due to their relationship with the entrepreneur as well as their being accessible.

Family and Friends

- This knowledge helps overcome one portion of uncertainty felt by impersonal investors – knowledge of the entrepreneur.

- Family and friends provide a small amount of equity funding for new ventures, reflecting in part the small amount of capital needed for most new ventures.

Venture Capital

- Venture capital is a general term to describe a range of ordinary and preference shares where the investing institution acquires a share in the business.
- Venture capital is intended for higher risks such as start up situations and development capital for more mature investments.
- Replacement capital brings in an institution in place of one of the original shareholders of a business who wishes to realise their personal equity before the other shareholders.

Venture Capital

- Venture capital is a valuable and powerful source of equity funding for new ventures.

- Venture capital is often referred to as risk capital. It is capital invested by an outside party in a business often as equity.

Venture capital

- Venture capital is a type of equity investment usually best suited for rapidly growing companies that require a lot of capital or start-up companies with a strong business plan.

- A typical venture capital investment usually requires sale of 25% to 55% of the company to the investor.